Retail Research	IPO Note
Sector: Renewable Energy	Price Band (Rs): 275 - 289
05th November 2024	Recommendation: Subscribe for Long Term

ACME Solar Holdings Ltd.

Company Overview:

ACME Solar Holdings Ltd. is one of the largest renewable energy independent power producers (IPP) in India with a portfolio consisting of solar, wind, hybrid and firm & dispatchable renewable energy (FRDE) projects. The company ranks among the top 10 renewable energy players in India by operational capacity with an aggregate operational project capacity of 1,340 MW currently.

Key Highlights:

1. Prominent player in the renewable energy industry with robust expansion plans in place: ACME Solar Holdings is recognized as one of the largest independent power producers (IPP) specializing in renewable energy (RE) in India. It consistently ranks among the top 10 players in the domestic market when measured by operational capacity (1,340 MW). The company is expanding its IPP capacity rapidly with 3,250 MW under construction contracted projects and 1,730 MW under construction awarded projects, which are likely to get operational in phases till 2QFY27.

2. Integrated approach to operations: The company employs a comprehensive in-house strategy for executing renewable energy projects, covering every phase of the project life cycle, from initial planning and development to implementation and maintenance. With a dedicated and experienced project development team, the company showcases its expertise in managing complex projects efficiently.

3. Expansive portfolio with different RE technologies: ACME Solar boasts a comprehensive and diverse portfolio of renewable energy projects that span across multiple technologies like solar, wind, hybrid and firm & dispatchable renewable energy (FDRE). The company's projects are strategically situated across 11 states, each chosen for its unique growth potential. This geographic and technological diversification positions the company to capitalize on the increasing demand for sustainable energy solutions.

4. Higher efficiencies through design & value engineering: The company employs value engineering to optimize the Capacity Utilization Factor (CUF) per unit of capital investment. This includes installing more modules at optimal DC:AC ratios and enhancing inverter capacity. The technology team evaluates new technologies and utilizes software to manage engineering from bid to project execution. The company's engineering approach focuses on cost-effective and reliable project layouts leading to higher time and cost efficiencies.

Valuation: At the upper price band of Rs 289, ACME Solar is valued at FY24 EV/EBITDA of 20.2x on post issue capital. The current operational capacity of ACME is 1,340 MW and total capacity (including contracted & awarded projects) is 6,320 MW. The company's topline has been stagnant over the last three years and has been making losses after adjusting for exceptional gains during the same period. However, potential for growth in Sales/EBITDA is healthy as expanded capacity gets commercialized over next 2-3 years. On replacement cost basis, the company is commanding EV/MW of Rs 3.5 cr which is attractive as compared to its peers. We recommend investors to subscribe to the issue at cut-off price for long term.

Issue Details	
Date of Opening	06th November 2024
Date of Closing	08th November 2024
Price Band (Rs)	275 - 289
Offer for sale (Rs cr)	505
Fresh Issue (Rs cr)	2,395
Issue Size (Rs cr)	2,900
No. of shares	10,03,46,021
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	16,756 – 17,487
BRLMs	Nuvama Wealth Management Ltd, ICICI Securities Ltd, JM Financial Ltd, Kotak Mahindra Capital Company Ltd, Motilal Oswal Investment Advisors Ltd
Registrar	KFin Technologies Ltd
Bid Lot	51 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NII shares	15%

Objects of Issue	Estimated utilization from net proceeds (Rs cr)
Investment in subsidiaries for repayment/prepayment, in full or in part, of certain outstanding borrowings availed by subsidiaries.	1,795.0
General Corporate Purposes	*
Total proceeds from fresh issue	**2,395.0**

**To be finalized upon determination of the Offer Price and updated in the Prospectus. The amount utilized for general corporate purposes shall not exceed 25% of the gross proceeds from the Fresh Issue.*

Shareholding Pattern		
Pre-Issue	**No. of Shares**	**%**
Promoter & Promoter Group	52,22,07,910	100.0
Public & Others	-	-
Total	**52,22,07,910**	**100.0**

Post Issue @ Lower Price Band	No. of Shares	%
Promoter & Promoter Group	50,38,44,274	82.7
Public & Others	10,54,54,545	17.3
Total	**60,92,98,819**	**100.0**

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	50,47,33,862	83.4
Public & Others	10,03,46,021	16.6
Total	**60,50,79,882**	**100.0**

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24	1QFY25
Revenue from operation	1,487.9	1,294.9	1,319.3	309.6
EBITDA	1,240.3	1,172.6	1,089.1	271.7
Reported PAT	62.0	(3.2)	697.8	1.4
Adj. PAT	(267.6)	(42.6)	(50.9)	1.4
EBITDA Margin (%)	83.4	90.6	82.6	87.8
Reported PAT Margin (%)	4.2	-	52.9	0.4
ROE (%)	3.2	-	26.9	-
ROCE (%)	8.1	7.1	8.6	-
PE (x)*	243.4	-	21.6	-

Note: Pre-issue PE (post stock split) based on Reported PAT and upper price band
Source: RHP, SSL Research

Risk Factors

- **Customer concentration:** The company generates a significant portion of its revenue from certain key customers with the top 10 customers contributing nearly 90% to the total revenue in FY24. Hence, the loss of any one of such key customers/off-takers or a substantial reduction in demand could have a material adverse effect on the company's business. The company expects to be reliant on certain off-takers in relation to renewable energy projects for the foreseeable future.

- **Delay in execution of under construction projects:** The company's future growth remains significantly dependent on the successful execution of its under-construction projects. Thus, failure in timely execution of projects may lead to adverse effects on the company's business.

- **Related party transactions:** The company sources a majority of its supplies from its promoter ACME Cleantech. As of FY24, ACME Cleantech accounted for nearly 80% of the company's total purchases underlining its dependence on the promoter group for conducting its business operations. Any adverse developments in the relationship may adversely affect ACME Solar's business and reputation.

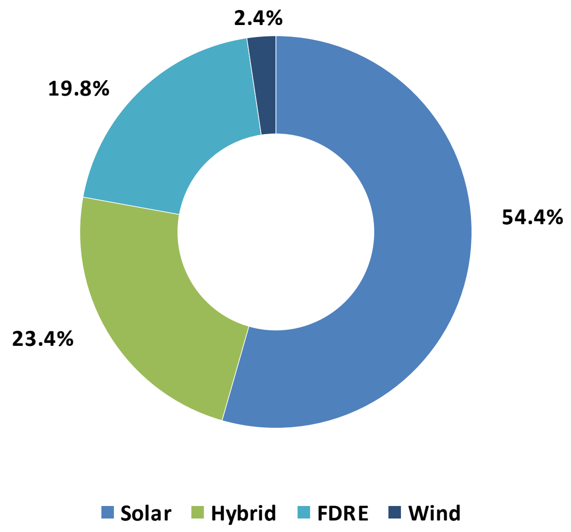
- **Intense competition:** The company operates in a highly competitive industry and relies heavily on renewable energy power project auctions. Any failure to compete in auctions can lead to adverse business conditions.

- **Import risk:** ACME Solar imports certain components such as solar PV modules and inverters from China through its promoter. Any restrictions, either from the central or state governments or government-backed corporations on imports from China may result in an adverse impact on the company's business.

Growth Strategies

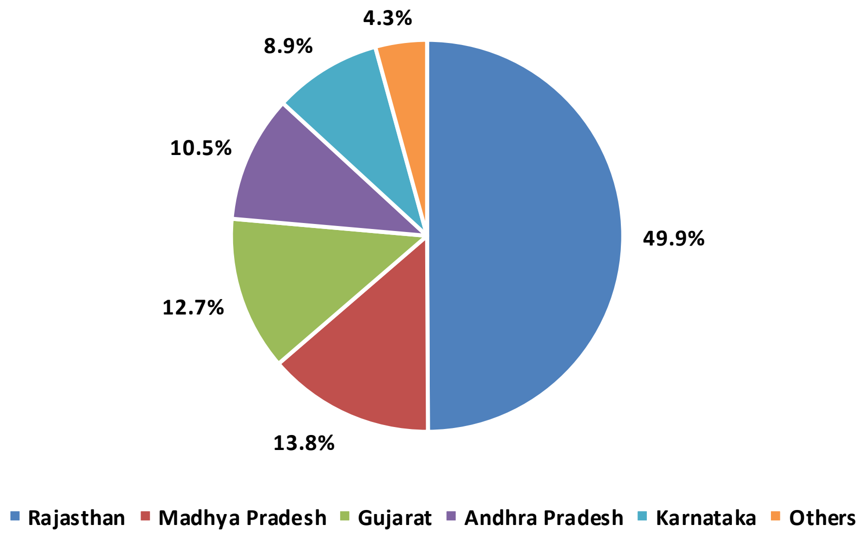
- To expand and diversify portfolio offerings to maintain leadership.
- To continue to invest in and improve integrated business models.
- To focus on technological upgradation to improve the efficiency and longevity of projects.
- To optimize the cost of capital through diversifying funding sources.

Breakup of Total Portfolio (6,320 MW) – Operational and Expanded Capacity



Source: RHP, SSL Research

Geographical Split of Projects



Source: RHP, SSL Research

Project Status (MW)

Particulars	Solar	Wind	Hybrid	FDRE	Total
Operational Projects (Tariff @ Rs 4.37/unit; Avg CUF (1QFY25: 26.99%)	1,340	-	-	-	**1,340**
Under Construction Contracted Projects[1] (Tariff @ Rs 2.44-4.73/unit; CUF: 30.37 – 56.68%)	1,500	150	1,030	570	**3,250**
Under Construction Awarded Projects[2] (Tariff @ Rs 2.52-4.64/unit; CUF: 29.87 – 55.51%)	600	-	450	680	**1,730**

1. Power purchase agreement signed but the project has not achieved its commercial operation date.
2. LOA received from the off-taker but PPA not signed.

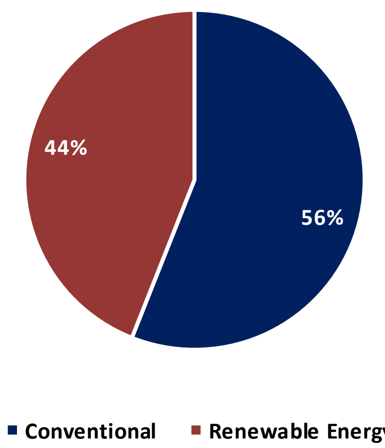
Source: RHP, SSL Research

Industry Overview

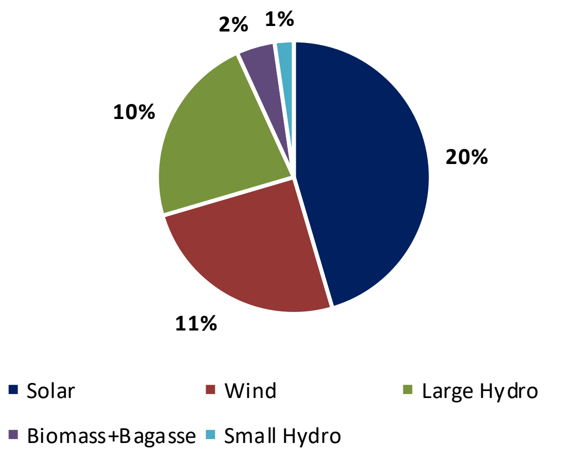
Renewable energy industry in India:

Renewable energy installations in India, including large hydro, have increased fivefold to approximately 200 GW as of Aug'24, up from around 63 GW in Mar'12. This growth has been driven by various incentives at both the central and state levels. As of Mar'24, the installed grid-connected renewable energy generation capacity, which also includes large hydro, constituted approximately 44% of the total installed generation capacity in India. The most significant contributor to this growth has been solar power, which has surged to about 89 GW, up from a mere 0.09 GW in March 2012.

India's Power Generation Capacity Split (Aug'24)



Share of Renewable Energy Capacity in Total Power Capacity of India (Aug'24)

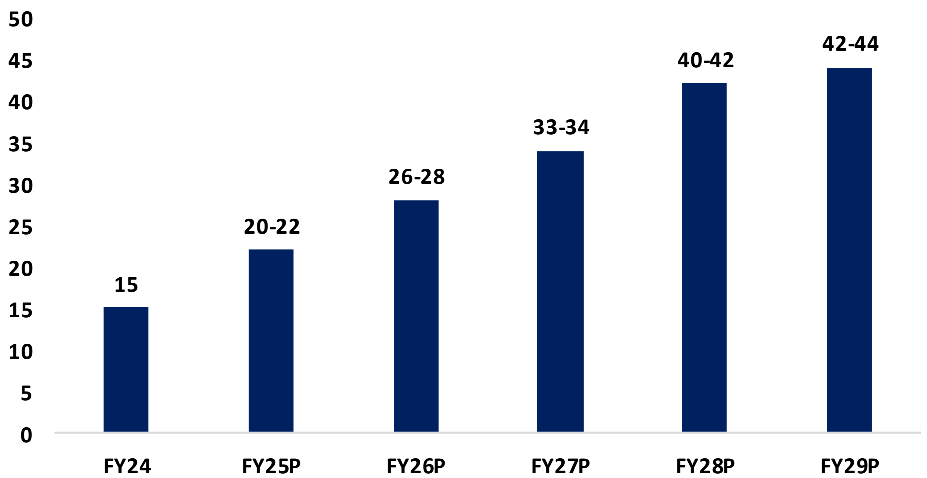


Source: RHP, SSL Research

Indian Solar Sector:

Solar energy accounted for a share of ~44% in the renewable energy basket as of Aug'24. Growth in the solar power sector over the last five years has been robust with approximately 70 GW of capacity been added in the segment over FY18-FY24. Commissioning activity has been concentrated in the key states of Rajasthan, Gujarat, and Tamil Nadu, which accounted for two-third of total capacity added in FY23.

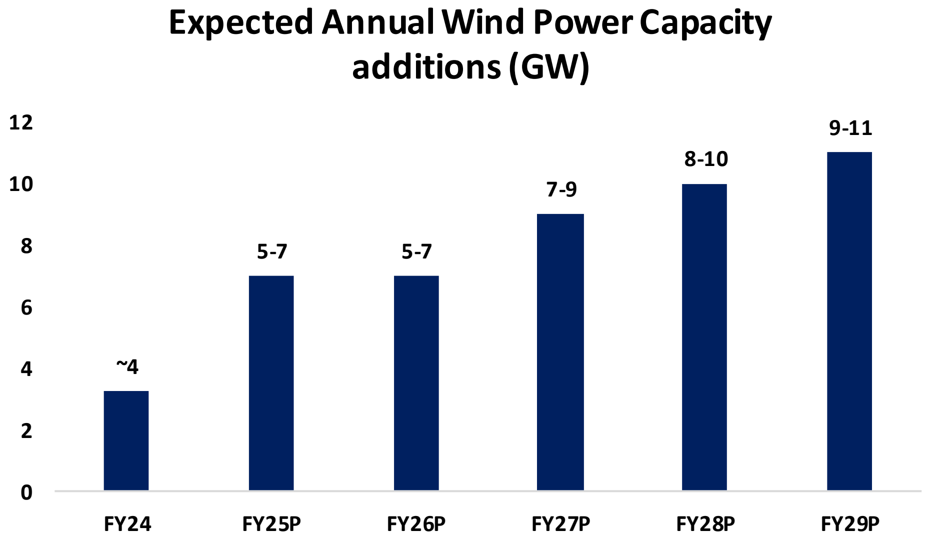
Year wise Expected Solar Capacity addition (GW)



Source: RHP, SSL Research

Indian Wind Power Industry:

India has the fourth largest installed wind power capacity in the world, with approximately 47 GW as of Jul'24. Wind power accounted for nearly 10.5% of India's total installed utility power generation capacity and is spread across the southern, western and northwestern states of India. Leading states in wind power installations include Tamil Nadu, Gujarat, Maharashtra, Rajasthan and Karnataka. Over the last 7 to 8 years, the installed wind power capacity in India has grown at CAGR of ~7%.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT				
(Rs cr)	FY22	FY23	FY24	1QFY25
Revenue from Operations	**1,488**	**1,295**	**1,319**	**310**
YoY growth (%)	**-**	**(13.0%)**	**1.9%**	**-**
Cost Of Revenues (incl Stock Adj)	94	-	-	-
Gross Profit	**1,394**	**1,295**	**1,319**	**310**
Gross margin (%)	***93.7%***	***100.0%***	***100.0%***	***100.0%***
Employee Cost	38	35	59	15
Other Operating Expenses	115	88	171	23
EBITDA	**1,240**	**1,173**	**1,089**	**272**
EBITDA margin (%)	***83.4%***	***90.6%***	***82.6%***	***87.8%***
Other Income	75	66	147	30
Interest Exp.	996	809	767	196
Depreciation	546	485	308	56
PBT	**(227)**	**(55)**	**161**	**50**
Exceptional item/Extraordinary item	330	39	749	-
Tax	40	(12)	212	49
Reported PAT	**62**	**(3)**	**698**	**1**
Reported PAT margin (%)	***4.2%***	***(0.2%)***	***52.9%***	***0.4%***
Adj. PAT	**(268)**	**(43)**	**(51)**	**1**
Reported EPS (Post stock split)	**1.2**	**(0.1)**	**13.4**	**0.0**

BALANCE SHEET				
(Rs cr)	FY22	FY23	FY24	1QFY25
Assets				
Net Block	5,721	6,172	6,353	6,297
Right of use assets	456	459	404	416
Capital WIP	1,273	2,147	2,828	3,850
Other Noncurrent Assets	1,097	707	660	922
Current Assets				
Inventories	-	-	-	-
Current Investment	-	-	150	1
Trade receivables	931	699	421	381
Cash and Bank Balances	763	1,338	1,315	1,774
Short-term loans and advances	162	344	-	-
Other Current Assets	483	320	1,257	333
Total Current Assets	**2,340**	**2,702**	**3,143**	**2,488**
Assets held for sale	**-**	**-**	**13**	**12**
Current Liabilities & Provisions				
Trade payables	273	62	74	92
Other current liabilities	329	318	806	630
Short-term provisions	-	-	1	1
Total Current Liabilities	**602**	**381**	**880**	**722**
Net Current Assets	**1,738**	**2,321**	**2,262**	**1,765**
Total Assets	**10,284**	**11,806**	**12,519**	**13,263**
Liabilities				
Share Capital	104	104	104	104
Reserves and Surplus	1,804	1,796	2,486	1,838
Total Shareholders Funds	**1,909**	**1,901**	**2,591**	**1,942**
Minority Interest	100	30	-	-
Total Debt	7,564	8,657	8,218	9,320
Long Term Provisions	2	5	7	7
Lease Liabilities	351	356	319	333
Other Long Term Liabilities	268	697	1,174	1,453
Net Deferred Tax Liability	90	160	212	208
Total Liabilities	**10,284**	**11,806**	**12,519**	**13,263**

Cash Flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	955	1,263	1,434
Cash flow from Investing Activities	(374)	(1,410)	(1,731)
Cash flow from Financing Activities	(556)	215	216
Free Cash Flow	(3,064)	495	(1,390)

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets	0.6%	(0.0%)	5.2%
Return on Capital Employed	8.1%	7.1%	8.6%
Return on Equity	3.2%	(0.2%)	26.9%
Margin Analysis			
Gross Margin	93.7%	100.0%	100.0%
EBITDA Margin	83.4%	90.6%	82.6%
Net Profit Margin	4.2%	(0.2%)	52.9%
Short-Term Liquidity			
Current Ratio (x)	1.9	2.8	2.2
Quick Ratio (x)	1.9	2.8	2.2
Avg. Days Sales Outstanding	228	197	116
Avg. Days Inventory Outstanding	-	-	-
Avg. Days Payables	67	18	20
Fixed asset turnover (x)	0.3	0.2	0.2
Debt-service coverage (x)	0.1	0.1	0.1
Long-Term Solvency			
Total Debt / Equity (x)	4.0	4.6	3.2
Interest Coverage Ratio (x)	0.8	0.9	1.2
Valuation Ratios*			
EV/EBITDA (x)	17.7	19.1	20.2
P/E (x)	243.4	-	21.6
P/B (x)	7.9	7.9	5.8
EV/Sales (x)	14.7	17.3	16.7

Valuation ratios are based on pre-issue capital (post stock split) at the upper price band
Source: RHP, SSL Research

Peer Comparison – FY24

Particulars (Rs cr)	ACME Solar Holdings	Adani Green Energy	KPI Green Energy	Orient Green Power
Total Capacity (MW)[1]	6,320	11,200	1,432	402.3
CMP	289.0	1,642.0	845.0	19.0
Sales	1,319.3	9,220.0	1,024.0	271.0
EBITDA	1,089.1	7,318.0	337.0	180.0
Adj. Net Profit	(50.9)	1,260.0	162.0	38.0
Mkt Cap.	17,486.8	2,60,307.0	11,100.0	2,229.0
Enterprise Value	21,994.5	3,14,603.0	11,762.0	2,894.0
EBITDA Margin (%)	82.6	79.4	32.9	66.4
Net Profit Margin (%)	(3.9)	13.7	15.8	14.0
PE (x)	25.1	236.6	63.1	57.6
EV/EBITDA (x)	20.2	43.0	34.9	16.1
RoE (%)	26.9	16.8	19.4	4.8
RoCE (%)	8.6	7.7	17.8	6.4
EV/Sales (x)	76.1	34.1	11.5	10.7
EV/MW (Rs cr/MW)	3.5	28.1	8.2	7.2

Source: RHP, SSL Research

Notes:

1. **Total capacity for ACME Solar Holdings includes both operational as well as under construction capacities (to be operationalized by FY27), capacity considered for KPI Green is of IPP alone including operational as well as under construction capacities and total capacity for Adani Green & Orient Green are only operational capacities.**
2. **For ACME Solar Holdings, the Market Cap, PE (x), Enterprise Value, EV/EBITDA (x), EV/Sales (x) and EV/MW are calculated on post-issue equity share capital based on the upper price band.**
3. **KPI Green Energy is not a like to like peer of ACME Solar Holdings, as it receives only 17% of its revenue from the IPP business.**
4. **CMP of peer companies is as of 05th November 2024.**

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